

NextEra Energy, Inc.

NEE NYSE

Buy \$89.30 ▲ 0.22% 12M Price Target \$98.00 52-Week Range \$69.24 – \$98.75

Market Cap \$186.24B

NEE: Dominion Merger Hits Regulators, Deal Math Gets Real

WHAT HAPPENED

- NEE and Dominion officially filed for regulatory approval on their proposed merger, and they're sweetening it with a \$2.25B customer credit — that's basically a bribe to state regulators and ratepayers to grease the approval process. Stock is barely moving (+0.22%) because the market already priced in the deal announcement; now it's a waiting game on FERC and state PUCs.
- Options flow is screaming caution — put/call ratio of 4.12 with heavy \$91-93 July puts. Someone's hedging against a near-term wobble, likely on merger-review headlines or a regulator making noise.

WHY IT MATTERS

The \$2.25B customer credit tells you management is dead serious about closing this deal — they're pre-empting the pushback from consumer advocates who always scream about mergers raising rates. If regulators approve, NEE becomes the undisputed king of powering the AI/data center boom on the East Coast — Dominion's Virginia footprint IS data center alley (Loudoun County handles ~70% of global internet traffic). But the near-term put buying suggests smart money sees a bumpy road: expect at least one state regulator to demand concessions, and every headline will jerk the stock around. The real question isn't IF it closes but WHAT it costs — the more concessions, the less accretive the deal.

POLICY & POLITICAL WATCH

The big overhang is what's left of the Inflation Reduction Act's renewable tax credits under the current administration — NEE's renewables arm (NextEra Energy Resources) is the largest wind/solar developer in the country, and any further rollback of the production/investment tax credits directly hits project economics. On the flip side, the administration's push for "energy dominance" and grid buildout to power AI is a massive tailwind — data centers need 24/7 baseload, which favors NEE's nuclear fleet (they own Seabrook, Point Beach, and stakes in others) and natural gas. Watch FERC's composition too — merger review will hinge on whether the current commissioners buy the "we need scale to power AI" narrative.

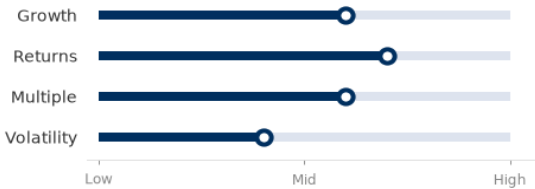
IS IT EXPENSIVE?

At ~24x forward earnings, you're paying about \$24 for every \$1 of profit — that's a premium to the utility sector average (~18x) but NEE always trades rich because of the renewables growth kicker. It's not cheap, but at 68% of its 52-week range with a merger catalyst pending, you're paying a fair price for a best-in-class operator. The valuation makes sense IF the merger closes cleanly and the AI power demand story keeps expanding EPS growth from the typical utility 5-6% into the 8-10% range.

Key Data

Price (USD)	\$89.30
12M Price Target	\$98.00
Upside / (Downside)	+9.7%
Market Cap	\$186.24B
FY2026E Revenue	\$28,500M
FY2027E Revenue	\$31,200M
FY2026E EPS	\$3.75
FY2027E EPS	\$4.15
Fwd P/E	23.8x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$94.00	\$90.00	\$84.00
6 Months	\$102.00	\$94.00	\$80.00
1 Year	\$115.00	\$98.00	\$75.00
2 Years	\$135.00	\$110.00	\$70.00
5 Years	\$180.00	\$140.00	\$65.00
10 Years	\$260.00	\$190.00	\$70.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+2.42%) and Staples (+1.84%) leading — classic defensive rotation, suggests investors are getting nervous about something macro. Energy (+4.37% 5D) running on oil/geopolitics.

COOLING OFF: Utilities only up 0.48% today and lagging on 5-day — money is choosing more defensive corners (staples, healthcare) over rate-sensitive utilities, likely on yield concerns.

ROTATION WATCH: The defensive bid without utilities participating is a yellow flag — it means the market wants safety but is worried about interest rates, which is exactly NEE's kryptonite. Watch the 10-year yield this week.

RELATED PLAY: If the AI-power thesis is real, independent power producers like Vistra (VST) and Constellation (CEG) are more leveraged bets — they've been running because they sell power directly to hyperscalers without regulated rate caps.

WHO'S WINNING IN THIS SPACE?

- CEG (Constellation Energy): Pure-play nuclear + direct data center PPA deals with Microsoft/Meta — no regulatory merger overhang
- VST (Vistra): Texas gas + nuclear, benefiting from ERCOT power price spikes and AI demand

NEE CONTEXT: NEE is lagging the pure-play power names because it's stuck in merger purgatory — that's actually the opportunity. Once the deal closes, NEE has similar AI-power exposure but with a 4% dividend yield the pure-plays can't match. You're getting paid to wait.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Solid setup with a clear catalyst, but the merger uncertainty caps how hard I'd pound the table.

POSITION SIZE: 3-5% of portfolio — this is a core holding, not a swing trade. The dividend (~3%) pays you to hold through the noise.

ENTRY POINTS: Add on any pullback to \$85-88, which is likely on a bad merger headline. Full position below \$82.

TIME HORIZON: 12-24 months — you're waiting for the merger to close and the combined entity's earnings power to become clear.

WHEN TO BAIL: If FERC or Virginia's SCC signals they'll block the deal, or if a full IRA repeal moves through Congress. Also bail if they announce a big equity raise to fund the deal — that's dilution you don't want.

HEDGING: Simplest hedge is to just size it right — 3-5% max. If you want to get fancy, buy some out-of-the-money puts before major merger review milestones (they're cheap insurance when the stock is calm like it is now).